

China Local Markets Weekly

Waiting for a summer reset

Extel - 2026

Global Fixed Income Research Survey

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- Since the publication of our [Mid-Year Outlook](#), much of the earlier optimism priced into China-linked assets has faded, leaving financial markets starting 2H26 with a broadly neutral risk premium on China. The latest 2Q GDP data confirmed a moderation in growth and continued softness in domestic demand, although recent activity indicators suggest conditions may be stabilizing at the margin. Market attention has now shifted to the upcoming July Politburo meeting, where policymakers are expected to reiterate their commitment to supporting growth. However, expectations for a large-scale stimulus package remain low.
- **Government bond issuance has picked up since June, but the overall pace continues to trail last year**, with special local government bond issuance particularly subdued. Although the unspent quota leaves room for a pickup in coming months, tighter LGFV financing rules, greater oversight of local borrowing, and slower policy bank bond issuance have led investors to downgrade expectations for fiscal/quasi-fiscal support. Against this backdrop, Chinese bond yields remain well anchored, while LGB-CGB spreads have compressed to multi-year tightness amid persistent duration demand.
- **At the same time, foreign appetite for Chinese bonds remains robust.** Inflows through both CIBM and Bond Connect channels have stayed strong in recent months, with foreign ownership of CGBs continuing to rise. That inflows have remained robust despite limited support from FX-hedged returns points to the possibility that a growing share of foreign participation may have become FX-unhedged. If sustained, this could create a reinforcing dynamic in which yuan appreciation boosts foreign investors' total returns, attracting additional inflows and generating further outright demand for RMB assets.
- **Chinese corporates stepped up net USD selling in June despite wider US-China rate differentials, providing continued support for the yuan.** Persistent exporter conversion flows, together with the gradual lowering of the daily fixing, signal policymakers' comfort with a stronger CNY. This has helped keep USD/CNH heavy during Asian hours, offsetting broader USD strength seen outside of Asia. Combined with resilient foreign demand for RMB assets, these dynamics keep our constructive CNY view largely intact. We remain bullish CNY via short USD/CNH options, with an unchanged year-end USD/CNY target of 6.70 while we expect CFETS TWI to appreciate further, potentially testing 105.

Emerging Markets Strategy

Tiffany Wang ^{AC}

(852) 2800-1726

tiffany.r.wang@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Arindam Sandilya

(65) 6882-7759

arindam.x.sandilya@jpmorgan.com

JPMorgan Chase Bank, N.A., Singapore Branch

Current trade recommendations

Current outright trades	Entry Date	Entry	Current	P&L	Relevant Note
3m 6.75 USD/CNH put	6-May-2026	0.46%	0.08%	-0.38%	Note
GBI-EM Model Portfolio	Positions	Weight			
CNY FX	MW				
CNY bonds	MW				

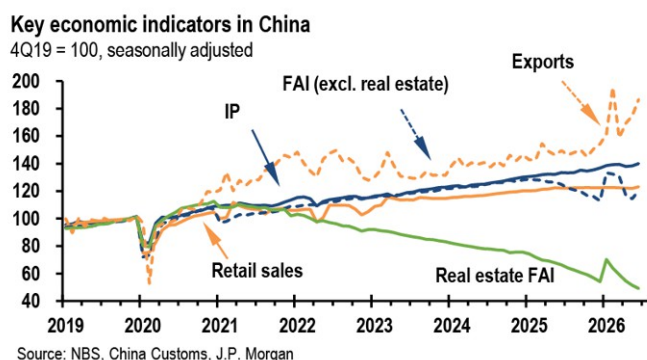
Source: J.P. Morgan.

See page 7 for analyst certification and important disclosures.

Waiting for a Summer Reset

Since we published our [China Local Markets 2026 Mid-year Outlook](#), China-linked assets have unwound much of the optimism that had been priced in earlier, with financial markets starting the second half with a broadly neutral risk premium on China. The latest 2Q GDP data confirmed that growth momentum has softened and become more uneven, with GDP slowing to 4.3% y/y in 2Q from 5.0% in 1Q and sequential growth easing to 2.4% q/q saar ([China: growth weakened despite activity stabilization](#)). While industrial production and services activity remained relatively resilient, supported by exports, industrial upgrading and policy-backed sectors, domestic demand continues to be the key weakness (Figure 1). Investment has been a notable drag, although June data pointed to some stabilization, providing a modest silver lining (Figure 2). Consumption also improved somewhat in June, helped by a rebound in retail sales, but overall household demand remains subdued, with services continuing to outperform goods consumption. Market attention has now shifted to the July Politburo meeting, where policymakers are expected to reiterate support for domestic growth. However, expectations for a large-scale stimulus package remain low. Our tracking of market-implied China risk premium suggests that China-linked assets have largely unwound the earlier optimism (Figure 3), leaving positioning broadly neutral relative to underlying cyclical fundamentals (Figure 4).

Figure 1: Domestic activity in China has remained particularly soft, ...



Source: NBS, J.P. Morgan.

Figure 3: China-linked assets have largely unwound the earlier optimism, ...

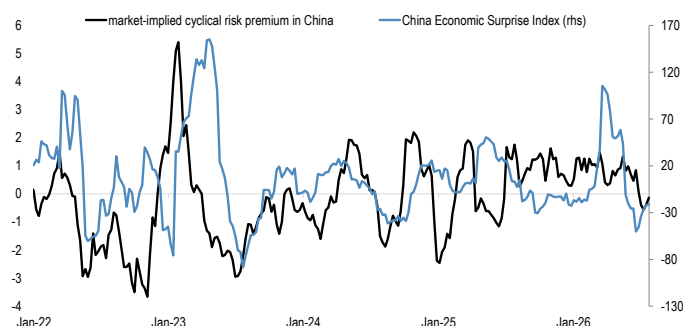
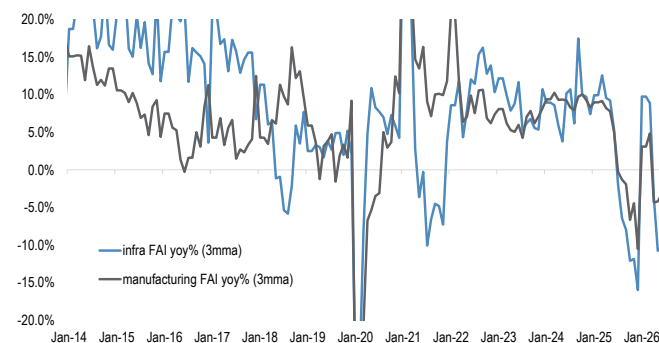


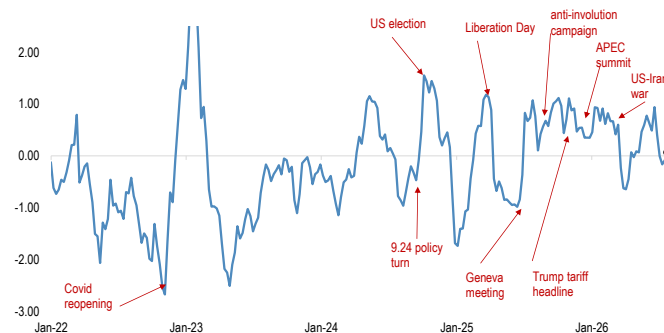
Figure 2: ...with investment being a notable drag in 2Q



Source: Wind, J.P. Morgan.

Figure 4: ...with more neutral positioning to start 2H26

s.d., misalignment between the market-implied risk premium in China and the economic surprises, +ve indicates bullish market pricing

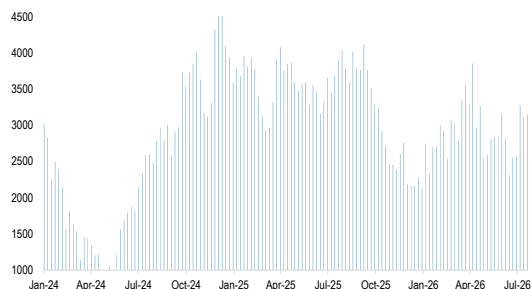


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Government bond issuance has picked up on the margin since June (Figure 5), consistent with expectations that fiscal policy still has scope to provide support for growth in the second half of the year, after a soft 2Q. Even so, the overall pace of issuance remains below that of last year (Figure 6). Notably, issuance of special local government bonds (LGBs) has been particularly subdued, with less than 60% of the annual quota issued so far, compared with nearly 70% at the same point last year. In principle, this leaves room for a meaningful acceleration in coming months, and issuance plans announced by local governments do point to a potential pickup in August. However, [recent tightening of LGFV financing regulations](#), coupled with closer central oversight of LGB issuance and fund utilization, as well as slower-than-expected policy bank bond issuance (Figure 7), have led investors to scale back expectations for both fiscal and quasi-fiscal stimulus. As a result, concerns have grown that fiscal support may continue to under-deliver relative to the economy's growth needs in the months ahead, adding to the broadly cautious market sentiment. This macro backdrop continues to anchor Chinese government bond yields at low levels. Meanwhile, with LGB supply remaining constrained, spreads between LGBs and CGBs have compressed to their tightest levels in recent years (Figure 8). The richening of LGB valuations reflects persistent demand for duration and an intensifying search for yield among domestic investors, as asset scarcity has become increasingly pronounced against a backdrop of subdued growth and limited high-quality investment alternatives.

Figure 5: Government bond issuance has picked up on the margin since June, ...

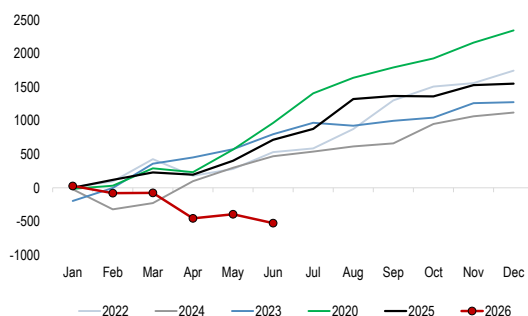
net issuance of CGBs and new LGBs, CNYbn, 3m sum



Source: Wind, J.P. Morgan.

Figure 7: Policy bank bond issuance has slowed notably in recent months, reinforcing concerns that fiscal and quasi-fiscal support may once again fall short of market expectations

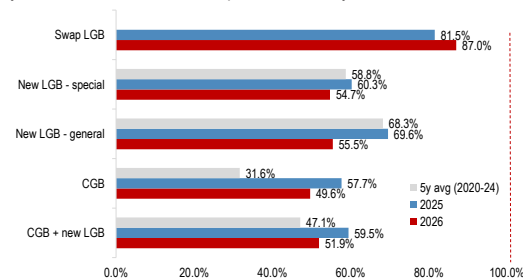
ytd net issuance of policy bank bonds



Source: Wind, J.P. Morgan

Figure 6: , ... though the overall pace remains below that of last year, with particularly subdued issuance of special LGBs

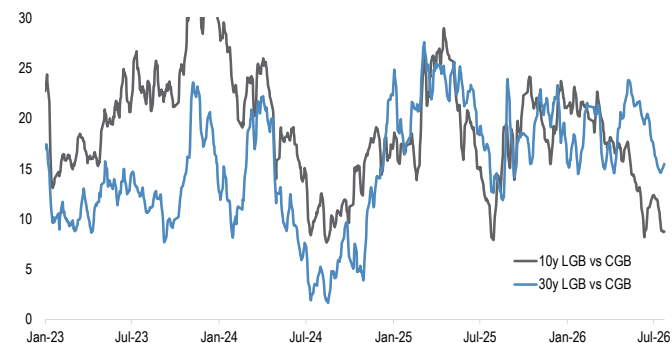
ytd net issuance % annual quota, as of July 2026



Source: Wind, J.P. Morgan.

Figure 8: Spreads between LGBs and CGBs have compressed to their tightest levels in recent years, underscoring strong duration demand from investors amid light supply

spread, bps

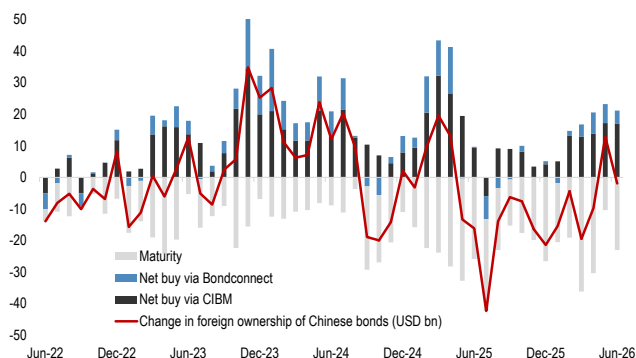


Source: Wind, J.P. Morgan

Demand for Chinese bonds extends beyond the onshore market. The sustained decoupling between Chinese and global rates in recent months has continued to support foreign appetite for Chinese bonds. While overall foreign holdings declined by around \$2bn in June following a \$13bn increase in May, the pullback was largely concentrated in NCDs (-\$2.9bn) and likely reflected the maturing of existing positions. By contrast, foreign ownership of CGBs rose by a further \$1.6bn in June, following a \$9bn increase in May. Flow data from CFETS also point to sustained foreign demand (Figure 9). Net purchases by CIBM investors remained robust at \$17bn in June, well above the 6m average pace of \$11bn, while Bond Connect investors also extended their buying streak with \$4bn of net inflows last month, compared with a 6m run rate of \$2.9bn. Notably, these inflows have persisted despite little improvement in FX-hedged yield pick-up (Figure 10). In previous years, a compressed CNY FX implied yield boosted the attractiveness of Chinese bonds by enhancing FX-hedged returns for overseas investors once they swapped USD into RMB. The resilience of recent inflows despite the absence of this tailwind suggests that foreign participation may have become increasingly FX-unhedged. If so, these inflows could provide a more durable source of support for the CNY. Currency appreciation would enhance the total returns earned by foreign investors holding CGBs, further improving the asset class's attractiveness and potentially encouraging additional FX-unhedged inflows. This dynamic could create a reinforcing cycle of foreign bond inflows and outright demand for the yuan.

Figure 9: Foreign demand in Chinese bonds has remained robust, ...

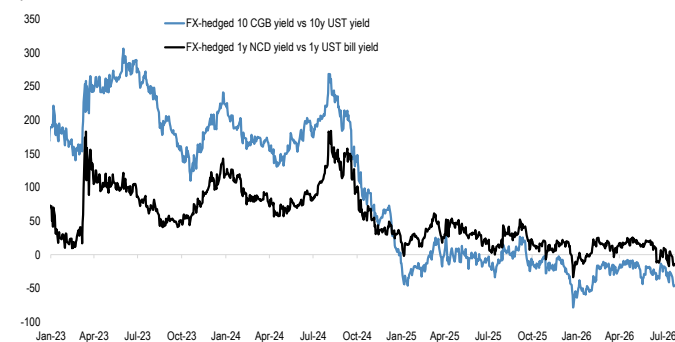
\$bn



Source: CFETS, J.P. Morgan

Figure 10: , ... with limited yield pick-up from FX hedged returns suggesting that a larger share of recent inflows may have become FX unhedged

bps



Source: Bloomberg Finance L.P., J.P. Morgan

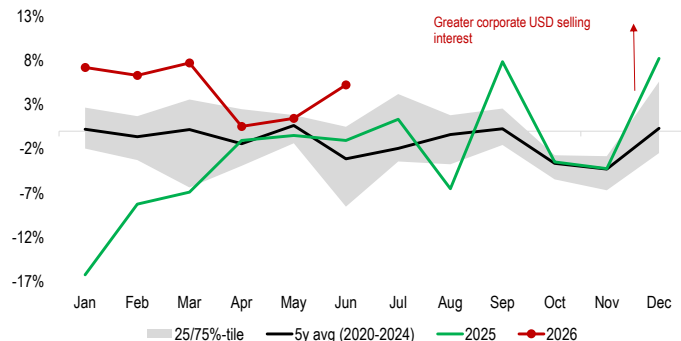
USD selling by Chinese corporates picked up in June, which should help to ease concerns that a shifting narrative around the dollar and widening US-China rate differentials might discourage exporters from continuing their early-year pattern of converting export proceeds into RMB. The latest SAFE data show that Chinese corporates were net sellers of roughly \$57bn dollars in June, with goods trade-related USD selling reaching a net \$82bn, the highest level since last December. Part of the increase reflects stronger trade-related inflows, with net goods trade foreign receipts rising to US\$106bn in June, well above the six-month average run rate of US\$80bn. Beyond that, exporters' willingness to sell dollars also rebounded amid last month's USD/CNH rally. The gross FX settlement ratio rose to 65.3%, while the gross FX sales ratio remained near a multi-year low at 60.1%. As a result, the net FX settlement ratio, a key gauge of exporters' net dollar-selling interest, widened to 5.2%ppt (Figure 11),

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marking the second-highest June reading on record. This should offer reassurance to CNY bulls. Persistent exporter dollar selling has remained an important anchor on USD/CNH, while the gradual lowering of the daily fixing continues to signal policymakers' comfort with a stronger currency. The consistent heaviness of USD/CNH during Asia hours corroborates robust exporter conversion flows (Figure 12), which have largely offset the more constructive USD tone seen during non-Asia trading hours. **We therefore remain bullish on CNY and maintain short USD/CNH via options (06-Aug-26 6.75 USD/CNH put), expecting supportive flow dynamics and continued foreign demand for RMB assets to provide ongoing support for the currency. Our year-end USD/CNY target remains unchanged at 6.70, while we expect the CFETS TWI to continue appreciating and potentially test 105 (vs current 102.8)**

Figure 11: USD selling by Chinese corporates has remained solid despite widening rate differentials, ...

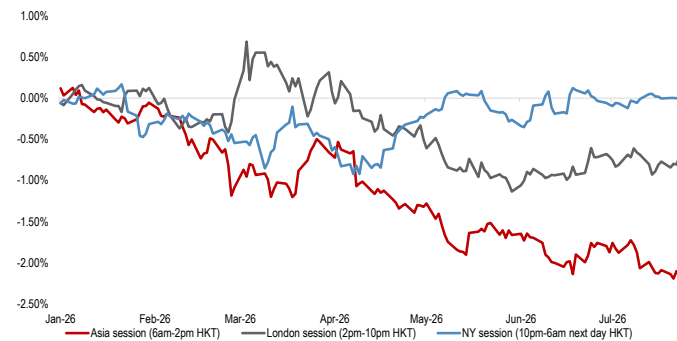
net FX settlement ratio, %ppt



Source: SAFE, Bloomberg Finance L.P., J.P. Morgan.

Figure 12: , ... evidenced by the continued heaviness in USD/CNH during Asia trading hours

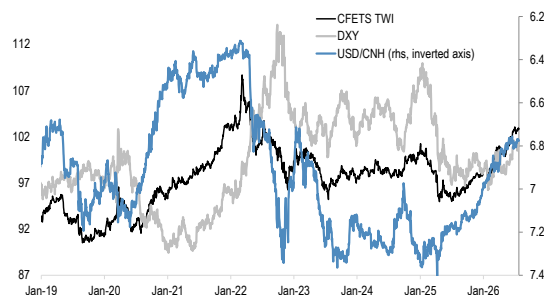
cumulative change in USD/CNH by trading sessions



Source: Bloomberg Finance L.P., J.P. Morgan.

China local markets charts

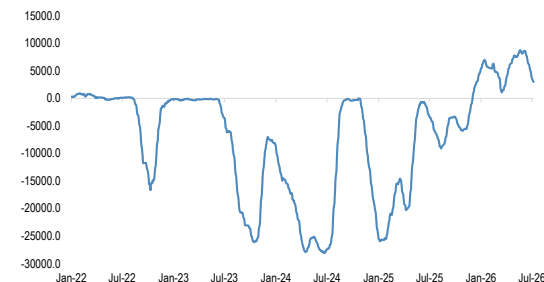
Figure 13: USD/CNY and CFETS TWI



Source: Bloomberg Finance L.P., J.P. Morgan.

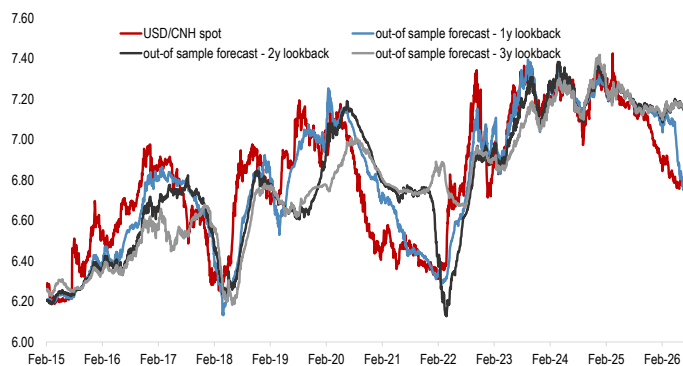
Figure 14: CNY fixing bias

pips, 20d rolling sum



Source: Bloomberg Finance L.P., J.P. Morgan. Strengthening bias is measured as the difference between actual fixings and J.P. Morgan model estimates derived from overnight basket currency performance only.

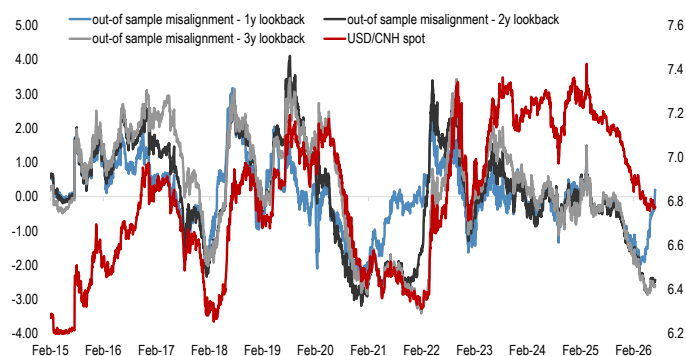
Figure 15: USD/CNH and yield-spread-based fair value



Source: Bloomberg Finance L.P., J.P. Morgan.

Figure 16: Misalignment in USD/CNH vs. rate fundamentals

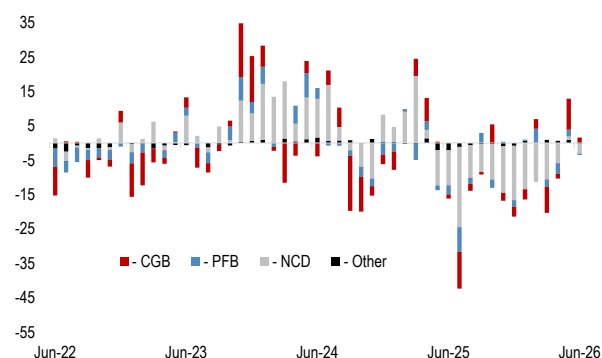
In s.d.



Source: Bloomberg Finance L.P., J.P. Morgan.

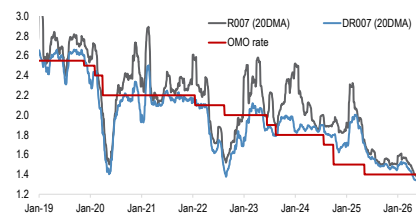
Figure 17: Foreign bond inflows

\$bn, change in foreign ownership



Source: Chinabond, Shanghai Clearing House, J.P. Morgan.

Figure 18: Money market rates



Source: Bloomberg Finance L.P., J.P. Morgan.

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